Euro Area Watch

Paris fieldtrip notes – fragile sentiment, fragile markets

One day, six meetings, little change to priors

We hosted a fieldtrip to Paris this week – six meetings across French government institutions, politicians, rating agencies and pollsters. Public finances and the election were naturally in focus. The good news: a 2027 budget close to 5% (ie more correction than we thought) may be a distinct possibility, but the process will not be quick. The not so good news: the 2027 election cycle and subsequent policy choices are tough. Though deficit correction was seen as likely in any scenario, the path is viewed as hard, with market pressure a pivotal ingredient. Polls were described as too early to rely on, but a far-right administration was still perceived as a big challenge for domestic policy and for EU dynamics. In sum, our macro priors were confirmed. Our impression was that clients left with at least the same degree of caution and scepticism they arrived with. There is no obvious short-term catalyst for a souring of French market dynamics. But sentiment isn't good and the wait for clarity post 2027 election long, making for a fragile market environment, with OAT-Bunds heavily dependent on front-end rates.

The economy is cyclically weak

We start with the economy: we have cut our growth forecasts to 0.3% this year and 0.6% next. In our discussions, the heatwave and delays to capex at local government level due to the elections in Q1, each worth c 10bp of growth, were often blamed for 2026 surprises. But that explains only a third of our revisions this year, although that makes us more comfortable assuming some mechanical headline growth recovery next year. Still, with tighter financial conditions and potentially more substantial fiscal tightening via the 2027 budget, we still see risks to the downside.

The 2027 budget: smoke without fire this time?

We feel more comfortable with our assumption that a 2027 budget will be passed before year-end, perhaps even closer to the 5% government target. For opposition parties, it will be easier to amend an existing 2027 budget with some election promises next summer than to spend the first months in power writing a budget from scratch. For the outgoing administration, the budget will be the last big legislative delivery, reducing the threat of a no-confidence vote considerably. Still, the process is likely to be noisy, bumpy and long. Passing the budget, perhaps with some concessions, via 49.3, remains a possibility but comes with the risk of a no-confidence vote and halting the budget. Importantly, the government's threat to implement the whole budget via article 47 (ordonnances) in December is real. A no-confidence vote could still follow, but the budget would be passed.

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Paris fieldtrip notes

The prospect of a 2027 budget deal, including almost 0.7ppt of primary budget adjustment, may give rating agencies a reason to sit on their hands until after the election. But the deficit will remain large, further adjustment still needed, and the post-27 election policy choices pivotal, yet unknown.

2027 election: very strong choices on the menu

The 2027 election featured prominently in all our discussions. A common theme was that the popular narrative and current polls might overstate the likelihood of a victory for far-right candidate Le Pen in the presidential election. Markets may at the same time underestimate the potential economic consequences at national and EU levels.

Opinion polls show still low interest in the 2027 election among survey participants, although with higher mobilisation among the far left and far right. Past election cycles would suggest polls start to move in earnest in February-March as campaigns reach full throttle. In this particular cycle, the crowded field of candidates in the centre creates considerable space for polls to move, we heard.

Uncertainty on parliamentary majorities was high, though we were surprised that most speakers seemed to see a path to a presidential majority of sorts in parliament. While coalition-making has not been part of the French political culture, the incentive to find a working coalition in 2027 may be very different than in 2022 or in 2024.

There seemed to be consensus among our speakers that any next administration would (or would have to) engage in fiscal correction eventually. But market pressure was a pivotal ingredient in that conclusion. It was repeatedly pointed out that Le Pen's economic programme may be less business- and market-friendly than the recent communication focus on fiscal discipline ambitions suggested.

Who thinks France thinks Europe

Our prior that the French election outcome also comes with significant European risks was echoed in most meetings. Far-right presidential candidate Le Pen's confrontational stance on the EU budget, generally interpreted as a reduction in French net contributions without a reduction in France's EU budget benefits (notably on agricultural policy), was seen as difficult to defend and in stark contrast to other EU members' idea to reduce the EU budget as a whole. The challenge may run even deeper: France and Germany have, in the history of the EU, always been compromise-makers. One of the two (at least) turning confrontational could mark a meaningful shift in EU dynamics. To our mind, that remains underestimated in current market discussions on France.

OAT-Bund spreads: directionality, cheapness, risks ahead

Among field trip participants, there was broad agreement on the fact that part of the widening in OAT-Bund spreads had to do with the rise in the overall level of EUR rates, given the higher financing costs weighed on interest expenses and thereby made the budgetary equation more complicated. Interest expenditure is also a metric that rating agencies focus on but those could still argue that France's elevated weighted average maturity of debt means that higher yields would have to persist for longer to have a meaningful impact on total interest burden.

OAT-Bund spreads were seen to incorporate some cheapness related to recent technical flows (eg. stop losses on long ASW positions), but clients noted that the length of the budgetary process, the positioning for increased supply in Q1 and election uncertainty could limit appetite to fade this cheapness. ECB action in case of renewed widening was seen by clients to be focused on verbal intervention, with slowing of QT (Quantitative Tightening) as next step but considered at much wider levels and under contagion to other EGBs. Our baseline of a 100-150bp range for 10y OAT-Bunds in the next few months was seen as optimistic by clients, although many thought peak uncertainty and pressure would be later in 1Q27.

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